

(The market closes at 3.30 PM, but it is better to exit 15 minutes early to avoid fluctuations)

Profit in 15900 CE (Entry – Exit) = 37.75 – 35.05 = 2.7

Profit in 15750 PE (Entry – Exit) = 58 – 41.65 = 16.35

So, total profit at intraday level is 2.7 + 16.35 = 19.05 points.

Many traders have different exit strategies for short strangle trades. Some traders hold the position with a 25% stop-loss on the premium collected (to avoid unlimited loss). A few traders may hold the trades with 50% stop-loss.

The best idea is to carry both positions with a 25% stop-loss on the premium. In this way, you are safeguarding your trades from the unlimited loss scenario, and also, you will make profits if the price shows a decisive move in one direction (instead of a sideways movement).

Let us look at an example in which price moves out of the range and how a [25% stop-loss works.

Example 2 – Bajaj Finance on 30-July-2021 (Monthly Expiry)



Image 9.14 – Bajfinance 5-min chart at 9.20 AM